

STRENGTH CLUB MALTA

The Digital-First, High-Margin Fitness Hub

1. Executive Summary

Strength Club Malta is a next-generation, technology-driven fitness venture designed to elevate the traditional Maltese gym market. By removing 100% of on-site reception personnel and digitizing the entire customer journey, the business eliminates traditional operational overhead to deliver premium training conditions with high profit margins.

Strength Club is targeting a major market failure in Malta's premium commercial hubs: severe peak-hour overcrowding and archaic administrative friction. Strength Club solves this via a strict membership cap and an automated, app-based infrastructure. Members enter at any hour by tapping their phone on the keypad, use a dedicated app to see occupancy rates in real-time and train in a calm, premium space with a deliberately capped membership that guarantees availability and space.

I am seeking €80,000 in external funding alongside a €40,000 founder cash injection to launch the first proof-of-concept facility. The capital funds company formation, fit-out, premium equipment, digital access and app infrastructure, as well as a high-impact marketing launch. In return, the investor receives an attractive, structured return over a 48-month term via a revenue-share or partnership arrangement.

2. Concept

Strength Club operates on a frictionless, subscription-based model. No front desks, no physical keycards, no joining fees, and no long-term contractual lock-ins.

- **The Digital Journey:** Members register online and purchase access instantly via credit card, Apple Pay, or Google Pay. Membership is instantly managed as a recurring digital subscription.
- **Seamless Access:** Entry is entirely automated via contactless NFC keys saved directly into the member's smartphone Apple/Google Wallet, synchronized with a secure electronic sliding door system.
- **The Proprietary App:** Provides members with live, real-time club occupancy tracking to completely avoid peak-hour congestion, alongside digitalized training guides and customer care.
- **Strict Capacity Controls:** To preserve a premium training atmosphere and guarantee zero equipment waiting times, the member base is strictly capped relative to the location's square footage.

The opportunity is twofold. Near term, this is a lean, high-margin, fast-to-profitability business. Long term, it is a replicable, brand-driven concept with a clear path to multiple locations and an international lifestyle brand.

3. Market & Competition

Malta's fitness market is active and growing, driven by a large, health-conscious population of professionals and a substantial expat community concentrated in exactly the coastal districts Strength Club targets - Msida, Ta' Xbiex, Gżira and Sliema.

Local gyms still follow traditional operating models: fixed staffed hours, manual onboarding, physical membership cards, no occupancy transparency and severe overcrowding during peak times.

Strength Club addresses a clear gap in the market: a premium 24/7 gym with digital access, real-time attendance visibility and a deliberately limited membership model.

The target customer is not looking for the cheapest gym. The target customer values time, convenience, cleanliness, access flexibility and atmosphere. This includes professionals, entrepreneurs, remote workers, expats, yacht/marina users, hospitality workers, shift workers and residents in central areas.

For these customers, the value proposition is clear: train when it fits your schedule, avoid overcrowded peak hours, enter without friction and enjoy a more focused premium environment.

4. Pricing

Strength Club is a B2C recurring-membership business, membership is sold online like a subscription - purchased by credit card or Apple / Google Pay with instant digital access. There is no joining fee and no long-term contract.

The pricing model is intentionally simple. The first priority is to build trust, fill the founding member base and prove demand. Once operational break-even is reached and capacity becomes limited, new members will move to a higher standard price of €59–€69 per month, depending on the final location, facility size, equipment level and market response.

Product	Price	Notes
Monthly membership	€49/month (introductory)	Flexible, cancel anytime. Rising to €59–69/month once founding phase is complete and break even is met.
Day pass	15 €	Single-visit access for visitors and non-members.

Membership is capped in proportion to the size of the location: a ~150 m² site caps at ~150 members, a ~250 m² site at ~250. This cap is the core of the premium promise - it guarantees availability and quality, and it makes the revenue per location predictable and defensible.

- **Recurring, predictable revenue** from monthly subscriptions.
- **Low fixed costs** - no staff is the single biggest structural advantage, turning what is normally a gym's largest running cost into near-zero.

- **High margin per member** once break-even is passed, with each additional member contributing profit.
- **Founding-member pricing** (€49 locked for early joiners) drives fast early sign-ups and rewards the first members while the standard rate steps up as the club fills.

5. Financials & Investment

Total External Funding Request: €80,000.

Founder Cash Contribution: €40,000 (injected directly as paid-in capital into the newly formed Malta Ltd. upon deal agreement).

Structure Options: Open to a Revenue Share Model or a Partnership.

Term: 48 Months maturity window.

Capital requirement & use of funds

All figures below use a representative ~200 m² location as the base case, with a range shown across site sizes. Final figures depend on the secured unit.

Use of funds	Amount (approx.)
Premium equipment & fit-out	55,000 €
Digital access, app & security infrastructure	18,000 €
Company formation, legal & professional setup	7,000 €
Interior build (showers, ventilation, flooring, finishing)	18,000 €
Marketing & brand launch	10,000 €
Working-capital buffer (rent & costs)	12,000 €
Total	120,000 €

Operating costs (representative ~200 m², annual)

Item	Approx. annual
Rent	39,000 €
Utilities & overheads	7,000 €
Software, licences & payment processing	4,000 €
Insurance	3,000 €
Marketing (ongoing)	4,000 €
Maintenance & consumables	3,000 €
Total	~€60,000

Unit economics & break-even

At the €49 introductory rate ($\approx$ €45.79 net), the business covers its $\sim$ €5,000 monthly operating cost at approximately 110 members. Against a $\sim$ 200-member cap, the club becomes profitable at 110 - and every member beyond this point pays the standard rate, contributing high-margin recurring revenue.

Profitability at full capacity ($\sim$ 200 m², cap 200)

The first $\sim$ 110 members (at €49) cover operating costs; the remaining $\sim$ 90 members pay the standard rate and represent profit:

Standard rate	Net profit at full capacity (per month)	Per year
€59/month	$\sim$ €5,000	$\sim$ €60,000
€69/month	$\sim$ €5,800	$\sim$ €70,000

The figures above use a representative $\sim$ 200 m² unit. A larger unit raises the membership cap and revenue potential, but also increases rent and equipment cost proportionally; a smaller unit reduces both. The model is designed to remain profitable across the full 150–250 m² target range, with the $\sim$ 200 m² case representing a balanced middle ground between fit-out cost and revenue capacity.

The key takeaway: the business reaches profitability at just over half its membership cap, typically within the first month of operation, then generates strong, recurring monthly surplus - the foundation for both investor repayment and future expansion.

6. Infrastructure & Operations

By replacing labor with automated technology, the facility runs safely and efficiently 24/7.

- **Premium Setup:** Fully equipped with high-end machinery, modern interior design, full ventilation, and essential upscale amenities.
- **Safety & Security:** Unstaffed operations are secured via a state-of-the-art AI-linked CCTV camera network and physical panic/emergency buttons placed throughout the facility. Core technology integration will be deployed by proven local specialists like AIS Technology Malta.
- **Management:** Founded and executed by Florian Kühn, blending corporate tech customer service expertise, real estate asset valuation, and rigorous operational discipline as a professionally trained chef from Germany.

Timeline:

- **Setup phase (~months 1–2):** company formation, financing finalised, equipment ordered immediately (lead times up to ~4 months), interior and marketing planning completed. Work that can happen off-site begins at once.
- **Fit-out (~months 2–3):** landlord shell handover, followed by Strength Club's own interior fit-out; change-of-use permit secured in parallel (a permit condition protects against downside).
- **Launch (~month 3–4):** high-impact marketing campaign, doors open, memberships live.

7. Growth Potential & Vision

The first location is intended to validate the Strength Club model. Once the concept is proven, the same model can be replicated in other strong Maltese locations.

Potential future locations include Sliema, St Julian's, Valletta, Birkirkara, Mosta, Qormi, and Gozo.

Long-term, Strength Club has the potential to develop beyond physical gyms into a fitness lifestyle brand. Once several stable locations generate recurring cash flow, the brand can expand into apparel, online merchandise, ambassador programmes and international e-commerce.

The long-term vision is to build Strength Club into a Maltese premium fitness and lifestyle brand with both local recurring revenue and global brand potential.

8. Risks & Mitigation

- **Securing the right location.** Mitigation: a flexible 150–250 m² size range across four target districts widens the pool of suitable units; the model scales to the space secured.
- **Permit (change of use).** Mitigation: fit-out and rent commitments are structured around permit approval, with a permit condition in the lease protecting against downside.
- **Slower-than-expected member growth.** Mitigation: the club reaches break-even well below full capacity; conservative break-even sits far under the membership cap, and the high-impact marketing campaign and brand launch is designed to fill quickly. Founding-member pricing accelerates early sign-ups additionally.
- **Equipment lead times.** Mitigation: equipment is ordered immediately on lease signing to align with the fit-out schedule.

- **Financing dependency.** Mitigation: private investment is deliberately used to fund during company formation and launch without the sequencing constraints of traditional bank lending.

9. The Founder

Florian Kühn combines international business acumen, tech-sector operations, and high-pressure operational execution with a lifelong, elite-level passion for fitness and sports. This unique trajectory provides Strength Club with a founder uniquely equipped to handle both the digital and physical complexities of an automated enterprise.

He built his academic and strategic foundation through an international management trainee program in Hong Kong and a Bachelor's degree in China Studies and Economics in Cologne, gaining deep cross-cultural business and negotiation insights. He refined his understanding of scalable digital workflows and enterprise-level customer relations at Cisco, a global tech giant—expertise directly transferable to Strength Club's automated customer care ecosystem. Strategically positioning himself for independence, Florian then operated as a self-employed real estate professional in Germany. This role developed his sharp capability for commercial property assessment and site selection, which is directly applicable to securing Strength Club's high-traffic locations.

To master the realities of physical business execution while cultivating a refined sense for design and presentation standards, Florian made the deliberate decision to immerse himself in high-pressure operational environments, completing professional culinary training and executing as a chef in Germany. Beyond instilling an uncompromising discipline around strict health and hygiene compliance, complex logistics, and real-time problem solving under intense daily pressure, this demanding creative sector deeply honed his passion for aesthetics and sensory excellence. High-level culinary execution requires an innate, sharp understanding of what people find visually stunning, premium, and deeply satisfying—paired with the rare capability to reproduce that elite creative standard with absolute consistency night after night. This precise balance of creative artistry, visual presentation, and flawless structural organization is directly transferable to curation of Strength Club's high-end atmosphere, meticulous interior architecture, and the future global scaling of the lifestyle apparel brand. Backed by consistent personal asset investing and the capital generated from his professional execution, Florian is injecting a €40,000 cash contribution into the newly formed Malta Ltd., demonstrating absolute skin-in-the-game and full commitment to driving Strength Club to multi-site profitability.